

Chapter 7

THE DOW JONES UTILITY AVERAGE

PERSPECTIVE

The Dow Jones Utility Average was introduced (displaying the prior year's history) on December 25, 1929, just in time for investors to monitor most of its Supercycle degree collapse of 92.68%. *The Elliott Wave Theorist* displayed a chart in August 1993 that may prove to have a similar timing, though intentional. Let's see how the waves aided in anticipating that high.

The Elliott Wave Theorist oriented readers a year before that peak with this discussion of July 31, 1992:

The Dow Jones Utility Average has completed a contracting triangle wave ④ dating back to 1987, which has lasted a Fibonacci 5 years. As you can see [in Figure 7-1], the triangle contained five subwaves. Wave (e) slipped very slightly below the lower channel line in April in a false break typical of fourth waves. Within the triangle, wave (e) = .618 x wave (c) and wave (c) = .618 x wave (a), classic relationships. The vigorous upside action in utility stock prices since then suggests the early stages of a post-triangle thrust.

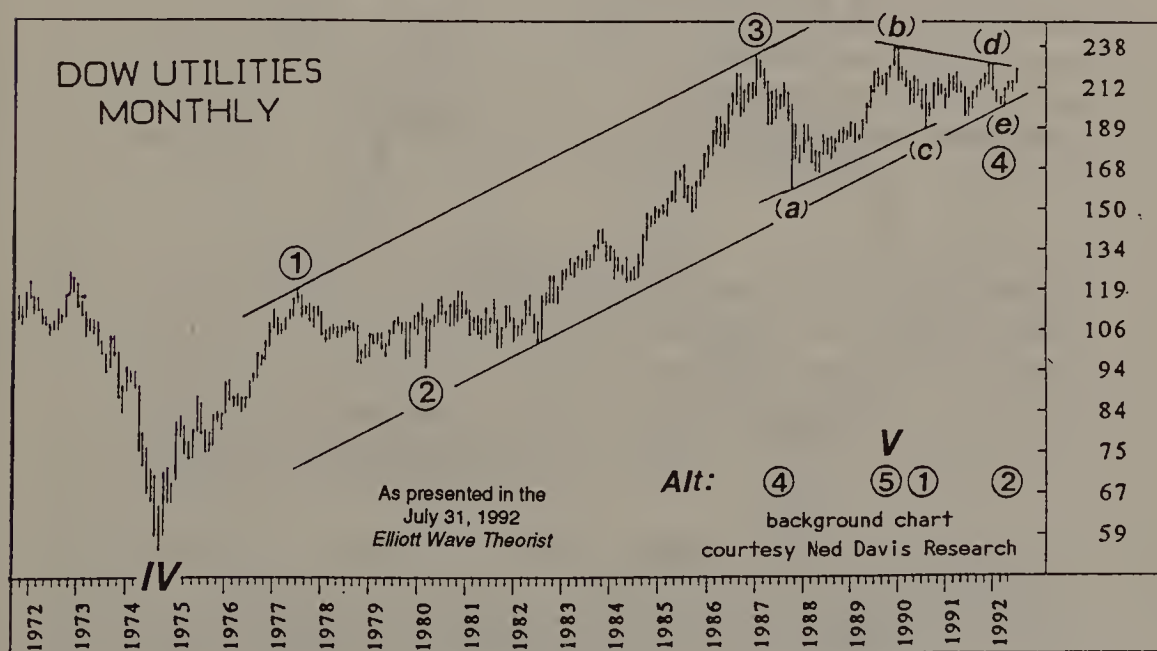


Figure 7-1